



Unit 10: Why Projects Fail

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1. Why Projects Fail

Introduction to the Unit

In this unit, we will understand why some *Projects Fail*.

We will focus on understanding the most common reasons for project failure, the specific warning signs of an impending project failure and the possible strategies to bring the project back to course well within time.

Objectives

Upon completion of this unit, you will be able to:

- Explain why projects fail
- Identify the warning signs of an impending project failure
- Identify the strategies for preventing project failure



Why Projects Fail

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Objectives

Upon completion of this segment, you will be able to:

- Explain why projects fail
- Identify the warning signs of an impending project failure
- Identify the strategies for preventing project failure

Introduction

In the last segment, we learned about the importance of the role of a *Project Manager* and the characteristics essential for this role. In this segment, we will try to understand why projects fail.

‘Even the best laid plans often fail’. There is much truth in this old adage—more so when it comes to project management.

Projects are initiated after a thorough analysis and the *Project Manager* takes over with immense zeal to plan and execute the project successfully. If this were to come through as planned, it would be an ideal scenario.

However, many surveys done across various industries claim that the percentage of failure of projects is anywhere from 37% to 70%. Most of these surveys have been done on projects involving technology.

The 37% failure looks like a good number but it is tough to substantiate by comparing the way studies are done. The range reaching 70%, however, is alarming.

The foremost reasons for having troubled projects in that worrisome range are:

- Requirements: unclear, changing, ambiguous and contradictory requirements
- Resources: lack of skills, conflict and poor planning of resources
- Schedules: unrealistic, unreasonably tight and overly optimistic schedules
- Planning: poor and unclear planning, done on insufficient or missing data
- Risks: unidentified or unmanaged
- Communication: lack of proper and timely communication

Some additional causes of project failure may include:

- budgeting too little time
- too little money
- inadequate planning



Project Management

- constantly-changing goals
- lack of project knowledge
- insufficient knowledge of the technology used,
- communications issues
- poor management of risks and issues, and
- poor stakeholder management.

Further, in these situations, the management is usually the last to know about any problem. Often the only difference between a project's complete failure and its success lies in spotting some specific warning signs. These signs allow us to notice the problem upfront and to recognise the real, measurable risk information we can get from historical data and from the time perspective.

The Warning Signs

There are four important warning signs that allow us to mitigate the risk of failure.

Warning sign 1

The first warning sign is employees working overtime. If a project is running smoothly, there usually is little to no need to work overtime.

Warning sign 2

The second warning sign is people being pulled off the project to work on another project. As time spent on other projects is cumulative, this factor could indicate a potential problem. This generally happens in functionally structured organisations where resources are shared across multiple projects.

Warning sign 3

The third warning sign is milestones not being met. If official milestones are not met, it indicates that the project may be in trouble.

Warning sign 4

The fourth warning sign is changes in the project scope. While this factor may not necessarily be 'bad,' it is a sign that the project could be in trouble.

Warning sign 5

The fifth warning sign is a growing 'Issue log'. This indicates the presence of too many issues which are not closed. It also shows that issues are piling up and there is little time to resolve them.

Besides these five warning signs, there are also some more intangible signs, which indicate that a project may be in trouble. These signs include a general lack of interest in the project, poor communication among workers, a fear of talking about project problems and a general lack of progress in the project.

That aside, there is a way to measure a project's success while it is in progress. This can be done by measuring certain metrics within a project. Measuring metrics is even more important today as an organisation's infrastructure and business applications continue to evolve and increase.



Project Management

Further, in today's economy, it is more vital than ever to minimise costs and maximise project quality.

Therefore, in a rapidly changing globalised economy where the demands on a project keep increasing, it becomes more and more important for a *Project Manager* to keep an eye open for the warning signs that a project may be in danger and take corrective action to address the issues and salvage the project in time.

Summary

In this segment, you learned that:

- the failure rate among projects, mostly involving technology, is 37% to 70%;
- most project fail due to improper management of requirements, resources, schedules, planning, risks and communication; and
- the failure rate in projects can be brought down by looking out for some key warning signs.